

SENATE JUDICIARY COMMITTEE
Senator Noreen Evans, Chair
2011-2012 Regular Session

SB 890 (Leno)
As Amended March 24, 2011
Hearing Date: May 10, 2011
Fiscal: No
Urgency: No
BCP

SUBJECT

Debt Buyers

DESCRIPTION

This bill, the Fair Debt Buyers Practices Act, would impose various restrictions on debt buyers who seek to take steps to collect purchased debt, including:

- Prohibiting the collection of a debt without valid documentation;
- Requiring a debt buyer who receives payment to provide a receipt;
- Prohibiting suit or other action to collect a consumer debt if the statute of limitations has expired;
- Requiring specified documentation of the debt to be attached to a complaint;
- Requiring a dismissal of the action, with prejudice, if a debt buyer seeks a default judgment without complying with specified requirements.

This bill would provide that a debt buyer who violates the provisions of this bill is liable for specified damages, including costs and reasonable attorneys fees, but permits a debt buyer to avoid liability for unintentional bona fide errors.

This bill would also require a claim of exemption, and related financial statement form, to be provided to a judgment debtor by a levying officer, as specified.

BACKGROUND

Debt buyers are companies that purchase delinquent or charged-off debts from a creditor for a certain fraction of the face value of the debt. Those companies have become subject to increased scrutiny due to numerous complaints on behalf of consumers. Last July, the Federal Trade Commission (FTC) issued a report examining debt collection litigation and arbitration proceedings that concluded the “system for resolving consumer debt collection disputes is broken” and recommended significant reforms. The FTC further noted that:

(more)

The report finds very few consumers defend or otherwise participate in debt collection litigation. The Commission therefore recommends state and local governments consider making a variety of reforms to service of process, pleading, and court rules and practices to increase the ability of consumers to defend or otherwise participate in debt collection litigation. The report also finds complaints and attachments in debt collection cases often do not provide adequate information for consumers to answer complaints or for judges to rule on motions for default judgment. The FTC therefore recommends that courts more rigorously apply existing rules to require that collectors provide adequate information and that jurisdictions consider adopting rules mandating the information which must be included in or attached to the complaint. The report additionally finds that state statutes of limitations on filing actions to recover on debt are sometimes variable and complex, and generally not understood by consumers. The Commission suggests that states consider modifying their laws to make it simpler to determine the applicable statute of limitations, and to require that collectors provide consumers with important information about their legal rights when collecting debt they know or should know is time-barred.

Responding to those issues, this bill, sponsored by Attorney General Kamala Harris, seeks to make numerous changes relating to debt buyers, including prohibiting the filing of an action if the statute of limitations has run, and requiring a debt buyer to attach copies of specified documents to any filed complaint.

CHANGES TO EXISTING LAW

1. Existing federal law generally regulates the collection of debt through, among other things, the Fair Debt Collection Practices Act; Fair Credit Reporting Act; and the Gramm-Leach-Bliley Act.

Existing state law, the Rosenthal Fair Debt Collection Practices Act, generally prohibits deceptive, dishonest, unfair and unreasonable debt collection practices by debt collectors, and regulates the form and content of communications by collectors to debtors and others. (Civ. Code Sec. 1788 et seq.)

This bill would enact the Fair Debt Buyers Practices Act, whose requirements and remedies are cumulative to those in the Rosenthal Fair Debt Collection Practices Act as well as any other law.

This bill would prohibit a debt buyer from making any written statement in an attempt to collect a consumer debt, including bringing suit or initiating another type of proceeding, unless the debt buyer possesses valid documentation that the buyer is the sole owner of the debt and reasonable verification of the amount of the debt allegedly owed by the debtor. Reasonable verification shall include documentation of the name of the original creditor, the name and address of the debtor as it appeared on the contract or other document evidencing the agreement to the debt,

and an itemized accounting of the amount claimed to be owed, including all fees and charges. Upon a request from the debtor to whom the debt purportedly applies, the debt buyer shall make this information available, without charge, to the debtor within five business days.

This bill would require a debt buyer who receives payment on a debt to provide an original receipt, or an exact copy, to the individual from whom payment is received within 10 days of payment, as specified.

This bill would prohibit a debt buyer from bringing suit, initiating another proceeding, or taking any other action to collect a consumer debt if the applicable statute of limitations on the cause of action has expired.

This bill would require the following with respect to an action brought by a debt buyer on a consumer debt:

- Plaintiff shall disclose clearly and conspicuously on the face of the complaint that he or she is a debt buyer;
- All of the following are attached: (1) copy of the contract or other writing evidencing the original debt and agreement of the debtor to be responsible for the debt, and establishing that each defendant debtor is, in fact, responsible for the original account; (2) copy of the writing establishing that the debt buyer is the sole current owner of the debt, as specified; and
- A statement of calculation of liability that separately states the amount of the original debt, each fee and charge added to the debt, and each payment credited to the debt after the earliest charge off or the delinquency closest in time to the sale of the debt.

This bill would provide that for purposes of the above provisions, the only evidence sufficient to establish the amount and nature of the debt shall be properly authenticated business records that satisfy the requirements of the Evidence Code, as specified, and include the following items: (1) copy of the contract or other writing evidencing the original debt; (2) original account number; (3) name of the original creditor; (4) original charge-off balance; (5) itemization of charges and fees claimed to be owed; (6) itemization of post charge-off additions, if applicable; (7) date of last payment; and (8) amount of interest claims and the basis for the interest charged.

This bill would provide that if a plaintiff who is a debt buyer seeks a default judgment and has not complied with the above requirements, the court shall not enter a default judgment for the plaintiff and shall dismiss the action with prejudice.

This bill would, except as specified, provide that a debt buyer who violates any provision of this bill with respect to any person is liable to the person in an amount equaling the sum of the following: (1) actual damage sustained; (2) damages, as

specified in an individual or class action; and (3) costs of the action and reasonable attorney's fees.

This bill would provide that a debt buyer shall not be liable in any action brought under this bill, if the debt buyer shows by a preponderance of the evidence that the violation was not intentional and resulted from a bona fide error notwithstanding the maintenance of procedures reasonably adapted to avoid any such error.

This bill would provide that an action to enforce any liability created by this title may be brought within two years from the date of discovery of the violation.

This bill would provide that in a case involving consumer debt, as defined and regulated under the Rosenthal Fair Debt Collection Practices Act, if the defendant debtor appears for trial on the scheduled date and the plaintiff debt buyer either fails to appear or is not prepared to proceed to trial, and the court does not find a good cause for continuance, judgment shall be entered for the debtor. Notwithstanding any other law, in that instance, the court may award the defendant debtor's costs of preparing for trial, including, but not limited to, lost wages and transportation expenses.

2. Existing law establishes a process for the enforcement of money judgments and requires a levying officer to provide certain documents and information to a judgment debtor and to a designated employer in connection with wage garnishment. Existing law permits a process server also to serve an earnings withholding order on an employer and requires that the process server also serve certain documents at this time. Existing law requires an employer who is served with an earnings withholding order to provide certain documents to an employee who is a judgment debtor. (Code Civ. Proc Secs. 700.010; 706.103; 706.104; 706.108; 706.122.)

This bill would require, in the circumstances described above, that a copy of the form that the judgment debtor may use to make a claim of exemption and a copy of the form used to provide a financial statement also be provided.

3. This bill would provide that its provisions are severable. If any provision of this section or its application is held invalid, that invalidity shall not affect other provisions or applications that can be given effect without the invalid provision or application.

COMMENT

1. Stated need for the bill

The author states:

According to the Federal Trade Commission, [t]he system for resolving disputes about consumer debts is broken, and has urged states to pass legislation to provide adequate protection for consumers. The system is broken because courts have been swamped with debt collection law suits driven by the growth of an industry that buys and sells bundled portfolios of consumer debt, and misuses the courts to leverage their collection efforts.

The industry's practices echo the scandal surrounding the processing of delinquent mortgages. Here, debt buyers use "robo signers" who sign affidavits averring that they have reviewed and verified debtors' records, when they have only reviewed basic, and often incomplete, account statements records or spreadsheets on a computer screen. Moreover, because consumer debt is being bought and sold so frequently, and over a period of years, companies are frequently pursuing the wrong person, or the filing claims that have no lawful basis.

Frequently, these debt collection actions are filed by debt buyers without proof that the debt ever existed. Yet actions proceed to judgment because ninety-five percent of consumers do not respond to these lawsuits – many because they do not receive notice – allowing the debt collector to take a default judgment against the consumer and levy against the consumer's personnel accounts.

The author maintains that this bill, "The Fair Debt Buyers Act[,] would reform the debt collection litigation process in a number of ways to aid consumers and unburden the courts from costly, unmeritorious litigation."

2. Implementing the FTC's recommendations

As noted above, the FTC released a comprehensive report last year entitled *Repairing A Broken System: Protecting Consumers in Debt Collection Litigation and Arbitration* that contained recommendations for reforms similar to those proposed by this bill.

a. Complaints must include detailed information

The FTC found that complaints filed by debt collectors to initiate collection actions against debtors were lacking. The FTC's report noted that "[t]he function of debt collection complaints in a notice pleading system is to provide sufficient information so that: (1) consumers can determine whether to admit or deny the complaint allegations and assert affirmative defenses in their answers; and (2)

judges can determine whether to grant a motion for a more definite statement or enter a default judgment . . . Based on the evidence gathered in connection with these proceedings, the FTC believes that many debt collection complaints do not provide this information to consumers.” To address that issue, this bill would, among other things, enhance the complaint so that the debtor has more complete information regarding the debt at issue, and, in turn, is able to respond appropriately to the complaint.

Specifically, the bill would require the debt buyer to clearly and conspicuously disclose on the face of the complaint that he or she is a debt buyer and attach a copy of the following: (1) contract or other writing evidencing the debt and agreement; (2) copy of the writing establishing that the debtor is the sole current owner of the debt (including original account number redacted to the last four digits); and (3) a statement of calculation of liability. Consumers Union (CU), in support, notes that attempting to collect debts without proof is a documented problem and that the proposed safeguards will prevent the courts from being clogged with unsubstantiated lawsuits. Given the reported abuses, the provision of that information would appear to provide consumer with necessary information about the debt for which collection is attempted, and in turn, allow those consumers to file an appropriate answer to the complaint.

The California Association of Collectors (CAC), in opposition, contends that this bill “confuses and blends the concepts of debt verification and prove-up hearings. Debt verification is the requirement on behalf of the debt owner or collector to demonstrate that the debt is owed by the consumer. Conversely, to obtain a judgment at trial or prove-up hearing, the plaintiff must produce admissible evidence satisfactory to the court that judgment is properly against the named defendants.” Despite those contentions, it is important to note that many of the complaints filed by some debt buyers are simply form complaints that provide little, if any, useful information to the consumer being sued about the underlying debt. Regarding the filing practices of some of those firms, the *New York Times’* October 31, 2010 article entitled *Debt Collectors Face a Hazard: Writer’s Cramp* reported that:

In some instances, banks are selling account information that is riddled with errors. More often, essential background information simply is not acquired by debt buyers, in large part because that data adds to the price of each account. But court rules state that anyone submitting an affidavit to a court against a debtor must have proof of that claim — proper documentation of a debt’s origins, history and amount.

Without that information it is hard to imagine how any company could meet the legal standard of due diligence, particularly while churning out thousands and thousands of affidavits a week. Analysts say that affidavit-signers at debt-buying companies appear to have little choice but to take at

face value the few facts typically provided to them — often little more than basic account information on a computer screen.

From a policy standpoint, it is questionable why a debt buyer should receive a judgment against a consumer if the debt buyer doesn't even have basic information about the underlying debt — that information is essential to demonstrating the right to a judgment. Consumers Union further notes a report done with the East Bay Community Law Center found that "debt buyers frequently buy portfolios of individual consumer debts with inadequate and inadequate information, and frequently sue without any proof that they own the debts or that the consumer owes them money."

b. Disclosure of information prior to judgments

To help provide courts (and consumers) with information about the underlying debt, this bill would require debt buyers to provide admissible information to establish the amount and nature of the debt and identity of the debtor. That evidence must consist of authenticated business records, and include specified items, including the date of last payment (which is important for purposes of the statute of limitations). It should be noted that a large percentage of debt collection actions reportedly result in default judgments. Those judgments are entered in favor of the plaintiff due to the failure of the defendant (consumer) to file a timely response to the complaint.

When those consumers fail to respond, there is no advocate to raise, on their behalf, applicable defenses or challenge the assertions made by the debt buyer. The FTC's report noted concern about the number of default judgments and recommended steps to "increase consumer participation in debt collection litigation to help decrease the prevalence of default judgments," and noted that "[i]n an effort to address this problem in another way, some court systems have adopted measures to encourage judges to apply appropriate and consistent standards — including legal standards and court rules — in deciding whether to grant such judgments." The requirements discussed above essentially provide a set of consistent standards for a judge to use when granting a default judgment.

This bill would also provide that if a debt buyer seeks a default judgment and has not complied with the requirement to provide the admissible information discussed above, the court shall not enter a default judgment and shall dismiss the action with prejudice. (A dismissal with prejudice precludes the debt buyer from bringing a future action to collect on that debt.) Although the penalty of a dismissal with prejudice appears somewhat harsh for failing to comply with specific requirements, it would provide a strong incentive for the debt buyer to provide all necessary information to the court prior to pursuing a default judgment. The bill would similarly require judgment to be entered in favor of the consumer if the consumer appears on the trial date and the debt buyer either

fails to appear or is not ready, and the court does not find good cause for continuance. In support of those two provisions, the author states:

The model that the debt buying mills follow is to obtain default judgments. The FTC has estimated that 95% of these collection cases end in defaults. If a debtor-defendant shows up for trial (having gone through the trouble of preparing for trial, getting time off work, etc.), the plaintiff-debt buyer simply dismisses the case without prejudice. The claimed debt lives on, and the debtor may face a suit in the future from the same debt buyer or a different one years later. What SB890 seeks to do is to change this abusive practice. The provision . . . simply puts into the code the unremarkable requirement that a party be ready for the trial that it has noticed and sought.

The broader provision requiring dismissal for failure to follow the bill's requirements when seeking a default judgment is meant to serve as a fitting deterrent to the same abusive practices. Most debtor-defendants will not be able to expend the time and effort to file an action seeking statutory damages under the bill. This would provide a remedy tailored to the violation, and place the burden on debt buyers rather than the courts to ensure that the terms of the law are followed.

c. Statute of limitations

The FTC's report also expressed concern that certain collectors "regularly sue consumers on time-barred debts." That practice is exacerbated by the practical reality that many consumers do not defend suits against them, even when the action would be barred by the statute of limitations. The FTC further asserted that "[b]ecause an expired statute of limitations is an affirmative defense in most states, collectors have no obligation to allege in the complaint that the debt is not time-barred, and many collectors do not include this information. If consumers do not defend, there is no one to raise the defense that the debt is time-barred. Indeed, some judges who participated in the roundtables stated that, even if a debt collection action appears to be time-barred, it would be improper for courts to consider affirmative defenses that no party had raised. As a result, some courts appear to be granting default judgments on time-barred debt."

This bill would address those issues by, among other things, prohibiting a debt buyer from bringing suit, initiating another proceeding, or taking any other action to collect a consumer debt if the applicable statute of limitations on the cause of action has expired. CAC contends that the proposal is unprecedented and that "CAC is not aware of any other area of California law in which a plaintiff is prevented from filing a lawsuit if the statute of limitations has expired." CAC also notes that statutes of limitations have numerous exceptions, and that the bill would fundamentally change the nature of the affirmative defense.

While CAC is correct that this bill would change the nature of the affirmative defense by proactively prohibiting the filing of those actions, some change is arguably necessary to address the issue of courts granting default judgments for debts that are technically unenforceable due to the running of the statute of limitations. East Bay Community Law Center further notes that this bill would “protect[] consumers from litigation or threat of litigation on debts they have no legal obligation to pay, including debts resulting from identity theft, mistake, time-barred debts, and debts they already paid.”

3. Additional limitations

This bill would additionally prohibit a debt buyer from attempting to collect a consumer debt unless the buyer has specific documentation regarding the debt. The debt buyer must make that information available, without charge, to the debtor within five business days. CAC, in opposition, contends that five days is too short and that “[m]ail can be slow and delays may be caused by vacations, holidays, disability or illness.” Although the time frame is relatively short, the timeframe would arguably require the debt buyer to have that information in an easily accessible format so that it may respond within that five-business day window. It should be noted that since the bill uses “business days,” it would essentially provide an entire week for the debt buyer to respond to the inquiry. The following amendment is suggested to clarify that the five-day window commences at the *receipt* of the request, thus, avoiding a situation where the request is made by mail several days before the debt buyer receives it:

Clarifying amendment:

On page 3, line 26, after “Upon” insert: receipt of

4. Remedies

To provide specific penalties for failure to comply with the bill’s requirements, SB 890 would provide that a debt buyer who violates the above requirements shall be liable to the consumer in an amount equal to the (actual damage) plus (additional damages (between \$500 and \$5000 per violation per person)) plus (costs of the action and reasonable attorneys fees). CAC objects allowing for additional damages of up to \$5,000 and contends that “many legitimate businesses that commit an inadvertent error will be shut down and employees will lose their jobs.” Despite those concerns, it should be noted that this bill would also limit the liability of debt buyers under the above provision if the buyer shows that the violation was not intentional and resulted from a bona fide error. That safe harbor provision would appear to act to shield debt buyers from liability in cases where the error was truly inadvertent.

5. Claim of exemption

Under existing law, a judgment debtor can claim that debtor's property or money is exempt from collection efforts. Those claims may be filed with the levying officer within 10 days after the date the notice of levy was served on the judgment debtor, and must include a financial statement. (Code Civ. Proc. Secs. 703.520, 703.530.) To facilitate exemptions, this bill would require the levying officer enforcing a money judgment to also provide a copy of the forms that the judgment debtor may use to make a claim of exemption and the financial statement, as specified.

CAC, in opposition, notes that judgment debtors may already file a Claim of Exemption but contends that this bill would "require judgment creditors who are debt buyers to advise judgment debtors how to defeat the awful collection of a judgment." It should be noted that the bill merely facilitates the use of a form that is already available to consumers, and does not change the underlying ability to claim any applicable exemption.

6. Opposition's remaining concerns

The CAC further contends that debtors have the existing right to make an offer to compromise, and to seek damages for frivolous lawsuits, and to sue for malicious prosecution.

DBA International, in opposition, contends that the bill "sets unprecedented obligations on the entire collection industry in the judicial system, proposes requirements which go beyond what is required or even available by the original creditors, and generally, creates more ambiguity than solves perceived problems." DBA's attached position paper notes that ownership is established for most purchases by a Bill of Sale and argues that: (1) the bill would eviscerate a judge's right to evaluate the trustworthiness of the evidence before them; (2) the itemization requirement is not even imposed upon originating banks by federal law; (3) the bill approaches the problem from the wrong perspective since it is the original creditor that has the information; (4) the FDCPA already imposes requirements on debt collectors; and (5) the bill will cause unnecessary filings of excess documents.

The California Creditors Bar Association (CCBA) expresses concern that the bill proposes "extensive regulations for only one type of debt ownership," would flip the burden of proof regarding the statute of limitations, "imposes wildly unreasonable requirements for documentation," and contends that the liability imposed would be punitive.

Support: California Reinvestment Coalition; Consumers Union; East Bay Community Law Center

Opposition: California Association of Collectors; California Creditors Bar Association; DBA International

HISTORY

Source: Attorney General Kamala Harris

Related Pending Legislation: SB 708 (Corbett), would enact the Debt Settlement Consumer Protection Act.

Prior Legislation: None Known
